DIY SMART CODE PRESENTS

AI Cheat Sheet

10 Terms Every Beginner Needs

From the video: AI Explained — What It Actually Is, How It Works, and Why It Matters

smartcode.diy/ai-cheatsheet

TERM 1 OF 10

Prompt

Your instruction to AI — the more specific, the better the answer.

REAL-WORLD ANALOGY

Like ordering food — “Give me food” gets mystery meat. “Grilled salmon, medium, lemon on the side” gets exactly what you want.

TERM 2 OF 10

Token

How AI reads text — words split into small pieces, like Scrabble tiles.

REAL-WORLD ANALOGY

AI breaks “hamburger” into three tokens: ham, bur, ger. More tokens it can handle, more text it can work with at once.

TERM 3 OF 10

Hallucination

AI sounding confident while being completely wrong. Always double-check.

REAL-WORLD ANALOGY

That friend who tells incredible stories — sounds convincing — but half the details are made up. Not lying on purpose, just filling gaps.

TERM 4 OF 10

Training Data

Everything AI studied to learn — gaps in data mean blind spots in answers.

REAL-WORLD ANALOGY

A chef who only tasted Italian food — ask them to make sushi and you're getting sushi with marinara.

TERM 5 OF 10

Fine-Tuning

Teaching a general AI model to specialize — like a doctor picking cardiology.

REAL-WORLD ANALOGY

The base knowledge is already there — fine-tuning adds focused expertise. Cheaper and faster than training from scratch.

TERM 6 OF 10

Neural Network

Layers of sorting — each catching what the last one missed, like a mail office.

REAL-WORLD ANALOGY

Ground floor sorts by size, next by destination, next by priority. By the top floor, every letter lands in the right bin.

TERM 7 OF 10

Transformer

Reads the whole page at once instead of word-by-word. Made ChatGPT possible.

REAL-WORLD ANALOGY

Old AI was a typewriter — one word at a time. The transformer (2017) is a speed reader — reads the whole page and spots connections.

TERM 8 OF 10

RAG

Giving AI an open book instead of relying on memory alone.

REAL-WORLD ANALOGY

Two students taking an exam. One guesses when stuck. The other looks up the answer first. Same student, much better answers.

TERM 9 OF 10

Context Window

How much text AI can see at once — bigger desk, more documents.

REAL-WORLD ANALOGY

A tiny desk fits one sticky note. A big desk fits stacks of documents. Bigger window = longer conversations remembered.

TERM 10 OF 10

AGI

Human-level AI that’s good at everything. Doesn’t exist yet — maybe never will.

REAL-WORLD ANALOGY

Today’s AI is a world-champion chess player who can’t make toast. AGI would be a human-level generalist — good at everything.

Want to go deeper?

Watch the full video for visual explanations, real-world analogies, and examples of every term in action.

🎬 **Watch: AI Explained on YouTube**

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